Proposed: General Obligation Bonds and Taxes

The following three general obligation bond questions will appear on all ballots for the General Election on November 3, 2026:

Bond Question 1: Senior Citizen Facility Improvement, Construction and Equipment

"The 2026 Capital Projects General Obligation Bond Act authorizes the issuance and sale of senior citizen facility improvement, construction and equipment acquisition bonds. Shall the state be authorized to issue general obligation bonds in an amount not to exceed twenty-one million five hundred eighty-two thousand two hundred thirteen dollars ($21,582,213) to make capital expenditures for certain senior citizen facility improvement, construction and equipment acquisition projects and provide for a general property tax imposition and levy for the payment of principal of, interest on and expenses incurred in connection with the issuance of the bonds and the collection of the tax as permitted by law?"

For: _____ Against: _____

Explanation of General Obligation Bonds and Taxes

A bond represents a debt for money borrowed by a government to finance capital improvement projects. The State of New Mexico promises to repay the amount borrowed, plus interest, over a period of time for each series of General Obligation bonds that are approved by voters. The bonds are called “General Obligation” because payment of the debt service (principal plus interest) is a general obligation of the State and its property owners through property taxation. According to the Board of Finance Division of the NM Department of Finance and Administration, the specific amount of property taxes collected in a given year is attributable to a number of factors, including the amount of debt service required for existing General Obligation bonds, the projected debt service required for the new bond issue, the latest assessed valuation of net taxable property, cash balances in bond debt service accounts, the date of issuance, and the actual interest rate obtained on the bond sale.

A General Obligation (GO) bond represents a debt for money borrowed by the State of New Mexico to finance capital improvement projects that benefit communities throughout the state. If approved by voters, the State promises to repay the amount borrowed, plus interest, over a period of time for each series of General Obligation bonds issued.
These bonds are called "General Obligation" bonds because repayment of the principal and interest is backed by the full faith and credit of the State of New Mexico. The debt service is paid through a statewide property tax levy on taxable property, as authorized by the 2026 Capital Projects General Obligation Bond Act. The Act requires that an ad valorem property tax be levied

each year in an amount sufficient to pay the principal, interest, and any authorized administrative costs associated with the bonds while they remain outstanding. The bonds may not be issued unless they are approved by a majority of voters at the 2026 General Election. Once approved, the bonds are generally issued with maturities of up to eleven years.

According to the Board of Finance Division of the New Mexico Department of Finance and Administration, the specific amount of property taxes collected in any year depends on several factors, including the debt service required for existing General Obligation bonds, the projected debt service for any newly approved bonds, the assessed valuation of taxable property statewide, available cash balances in bond debt service accounts, the timing of bond issuance, and the interest rates received when the bonds are sold.

The State Board of Finance will determine the final property tax rate and estimated annual cost to property owners after the 2026 General Election, based on voter approval, the timing of bond issuance, market interest rates, and statewide assessed property values. Those estimates will be published before the bonds are issued.

2026 Capital Projects General Obligation Bond Act

The New Mexico Legislature passed the 2026 Capital Projects General Obligation Bond Act detailing projects that would be funded by these bonds. No bonds will be issued or sold under this act until the state's registered voters have voted upon and approved the issuance and sale of these bonds. Each bond question is voted upon separately with a "For" or "Against" question.

Summary: The three 2026 bond questions ask for voter approval to issue and sale general obligation bonds as follows:

Bond Question 1, in an amount not to exceed $21,582,213 to make capital expenditures for certain senior citizen facility improvement, construction and equipment acquisition projects;

Bond Question 2, in an amount not to exceed $19,324,188 to make capital expenditures for academic, public school, tribal, and public library resource acquisitions; and

Bond Question 3, in an amount not to exceed $352,225,379 to make capital expenditures for certain higher education, special schools, and tribal schools capital improvements and acquisitions.

The total for all three questions, including bond issuance costs, is **$393,131,780.** A complete breakdown of the designated projects under each bond issue can be found on the New Mexico Legislature's website: https://www.nmlegis.gov/Publications/Capital_Outlay/HB248%20Chart%20Funded%20Projects%20by%20Agency%203A%20GOB.pdf

Source: NM Department of Finance and Administration.

Additional Resources

Additional information on the proposed constitutional amendments and general obligation bonds can be found at the following sites:

House Joint Resolution 2 - Constitutional Amendment 1:
HJR02 (nmlegis.gov)

Senate Joint Resolution 1 – Constitutional Amendment 2:
SJR01 (nmlegis.gov)